5.5.2 Types of Inflation

On the basis of speed

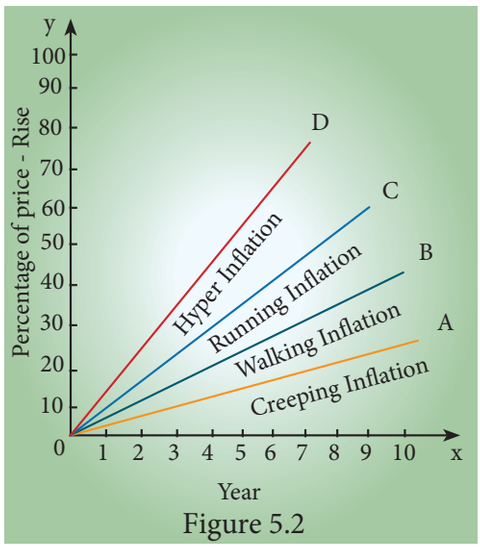


Figure 5.2

(i) Creeping inflation (ii) Walking inflation (iii) Running inflation and (iv) Galloping inflation or Hyper inflation.

The four types of inflation are indicated in Figure-5.2.

i) Creeping Inflation: Creeping inflation is slow-moving and very mild. The rise in prices will not be perceptible but spread over a long period. This type of inflation is in no way dangerous to the economy. This is also known as mild inflation or moderate inflation.

ii) Walking Inflation: When prices rise moderately and the annual inflation rate is a single digit (3% - 9%), it is called walking or trolling inflation.

iii) Running Inflation: When prices rise rapidly like the running of a horse at a rate of speed of 10% - 20% per annum, it is called running inflation.

iv) Galloping inflation: Galloping inflation or hyper inflation points out to unmanageably high inflation rates that run into two or three digits. By high inflation the percentage of the same is almost 20% to 100% from an overall perspective.

The first hyper inflation of the 21st century Zimbabwe's annual inflation rate surged to an unprecendented 3714 percent at the end of April 2007.

Demand-Pull Vs Cost-Push inflation

i) Demand-Pull Inflation: Demand and supply play a crucial role in deciding the inflation levels in the society at all points of time. For instance, if the demand is high for a product and supply is low, the price of the products increases.

Demand Pull Inflation

Too much of money chasing too few goods



ii) Cost-Push Inflation: When the cost of raw materials and other inputs rises inflation results. Increase in wages paid to labour also leads to inflation.

Wage-Price Spiral

Wage-price spiral is used to explain the cause and effect relationship between rising wages and rising prices or inflation.

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